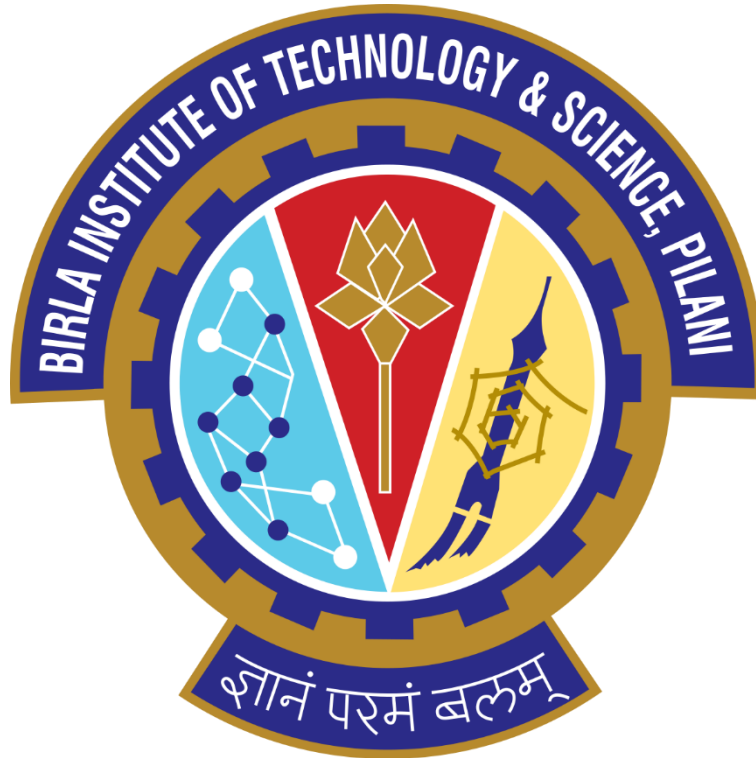


Financial Analysis Report

ECON F212: Fundamentals of Finance and Accounting



Birla Institute of Technology and Science, Pilani
Hyderabad Campus

Name: Paarth Singh

ID Number: 2024AAPS0317H

Serial Number: 80

Allotted Company: Bayer Crop Science Ltd.

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1. Introduction

1.1) Nature of business

Bayer Crop Science India is a major arm of the global Bayer Group and focuses entirely on serving the agricultural needs of Indian farmers. The company's business revolves around offering practical, science-based solutions that help farmers grow healthier and more productive crops. Its portfolio includes high-quality seeds, modern chemical and biological crop protection products—such as herbicides, insecticides, and fungicides—and useful digital tools that guide farmers with better decisions in the field. Bayer's approach is driven by research and innovation, aiming to create products that improve yield, manage pests and diseases effectively, and support more sustainable farming practices. In essence, the company works across the whole farming cycle, from the moment seeds are planted to the final harvest, helping farmers improve their productivity, income, and overall farming experience.



1.2) Ownership Structure

Bayer CropScience Limited (Bayer Crops India) has an ownership structure dominated by its global parent, the Bayer Group, which holds approximately 71.43% of the company as its promoter. This controlling stake is held through various international and Indian subsidiary entities, including Bayer Vapi Private Limited and Bayer AG. The remaining 28.57% constitutes the public float, which is traded on the stock exchanges. This public portion is distributed among Foreign Institutional Investors (FIIs), Domestic Institutional Investors (DIIs), including mutual funds and insurance companies, and a significant holding by retail (individual) shareholders.

1.3) Founding Details

Bayer's agricultural journey in India began not as "Bayer CropScience" but through the establishment of its parent company, Bayer (India) Limited, which was incorporated in 1958. However, its foundational roots in the country trace back even earlier, to 1896, when Bayer AG from Germany first started marketing its products on the subcontinent. The specific crop science division evolved over decades, formally taking shape as a dedicated business unit within the Indian subsidiary. A pivotal moment in its founding history was the global acquisition of Monsanto in 2018, which significantly reshaped the company. This acquisition integrated Monsanto's formidable seed and traits business (including the popular Dekalb brand) into Bayer's existing crop protection operations in India, effectively creating the comprehensive and dominant agricultural entity known as Bayer CropScience India today.

1.4) Reputation and Significance

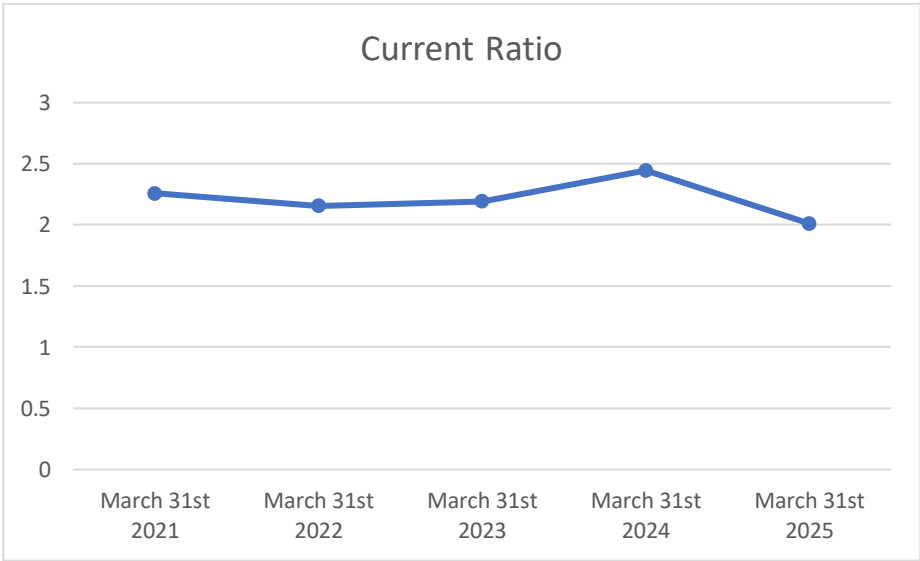
Bayer CropScience India holds a significant and complex position in the Indian agricultural landscape. It is widely regarded as a leading innovator and a significant contributor to modern farming, providing crucial inputs like high-yielding seeds, advanced crop protection chemicals, and digital tools that help boost productivity and farmer incomes. Its significance is underscored by its vast portfolio, strong R&D focus, and extensive reach among millions of farmers. However, its reputation is dual-faceted; while respected for its technological prowess, it has also faced intense scrutiny and criticism, particularly following the integration of Monsanto's business. This includes ongoing legal and public debates over the pricing of genetically modified seeds (especially Bt cotton), patent rights, and the environmental and health concerns associated with certain products, creating a legacy that is both influential and contentious. It is not only a successful business, but also a crucial partner in India's economic growth and journey towards a more sustainable future.

2. Ratios

2.1) Liquidity Ratios

Year	Liquidity Ratios			
	Current Ratio	Acid Test Ratio	Cash Ratio	Operating Cash Flow Ratio
31st March 2021	2.26	1.41	0.77	0.437
31st March 2022	2.15	1.24	0.47	0.130
31st March 2023	2.19	1.18	0.48	0.343
31st March 2024	2.45	1.48	0.72	0.596
31st March 2025	2.01	0.95	0.40	0.118
Average	2.21	1.25	0.57	0.32
Minimum	2.01	0.95	0.40	0.118
Maximum	2.45	1.48	0.77	0.596

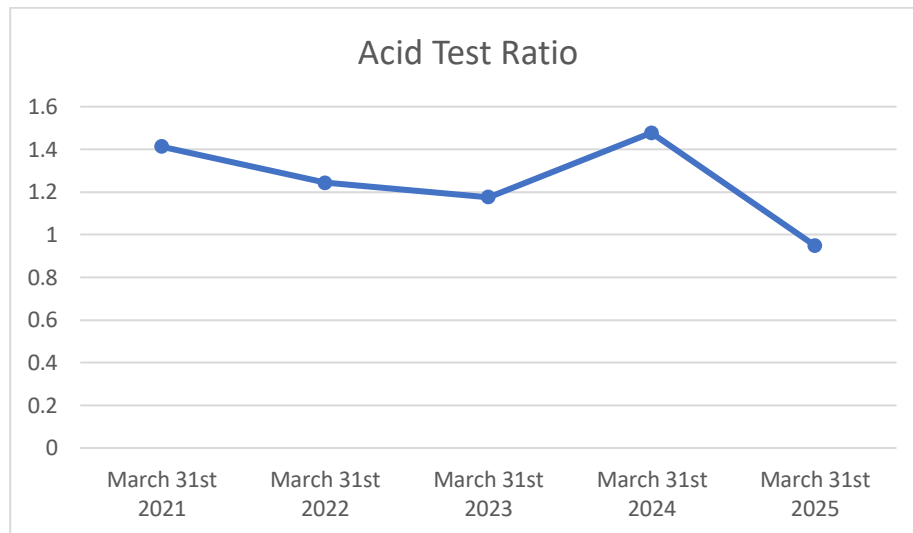
2.1.a) Current Ratio



The Current Ratio demonstrated relative stability over the initial four-year period, fluctuating within the range 2.15 to 2.45 and peaking in FY2024.

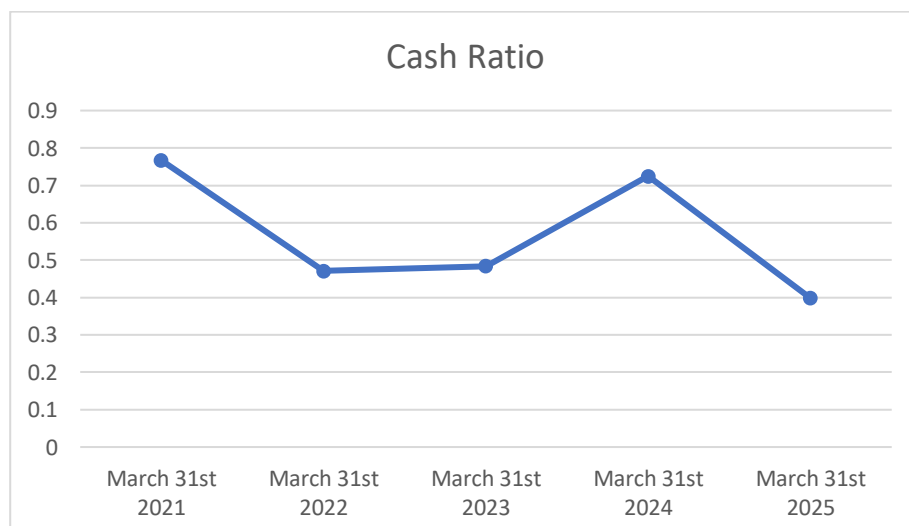
However, this trend reversed decisively in FY2025, with the ratio declining to 2.01, a value below the five-year average. This contraction signifies a substantial reduction in the margin of safety for covering short-term obligations, thereby elevating solvency risk.

2.1.b) Acid-Test Ratio



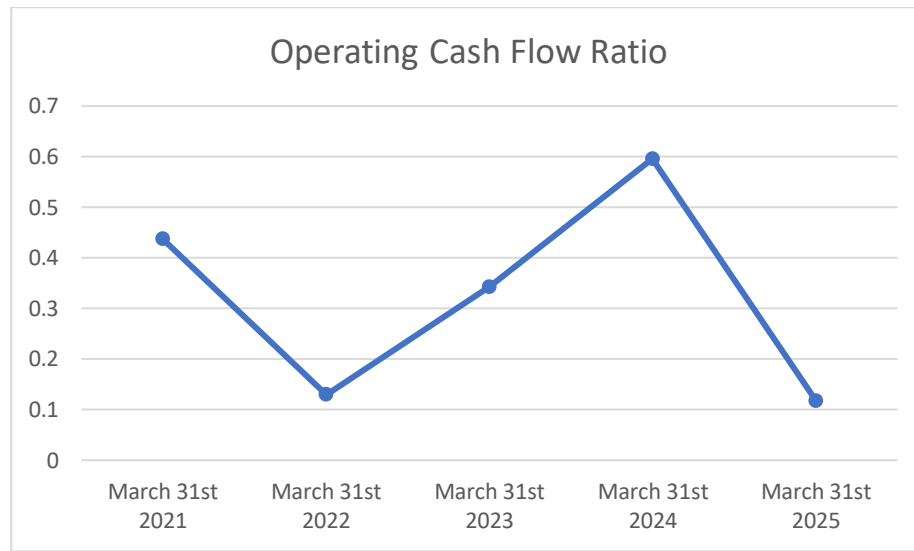
The trend for the Acid-Test Ratio is particularly critical. After a gradual decline from FY2021 to FY2023 and a subsequent recovery in FY2024, the ratio experienced a severe contraction to 0.95 in FY2025. This descent below the threshold of 1.0 indicates that the entity's most liquid assets are no longer sufficient to meet its current liabilities, excluding inventory from the equation. This positions the company in a vulnerable state, potentially reliant on the timely sale of inventory or the securing of external financing to meet immediate obligations.

2.1.c) Cash Ratio



The volatility of the Cash Ratio underscores an inconsistent cash management strategy. Despite a robust recovery to 0.72 in FY2024, the ratio fell to a five-year trough of 0.40 in FY2025. This denotes a severe depletion of cash and cash equivalents, leaving a minimal buffer for the immediate settlement of short-term debt and reflecting potential constraints in the company's financial flexibility.

2.1.d) Operating Cash Flow Ratio



The Operating Cash Flow Ratio exhibits high volatility, culminating in a sharp decline to 0.118 in FY2025. This implies that cash generated from core operating activities covers only 11.8% of current liabilities. Such a figure suggests that the company's primary business operations are insufficient to sustain its short-term financial commitments, raising questions about operational efficiency and long-term financial sustainability without reliance on financing or investing activities.

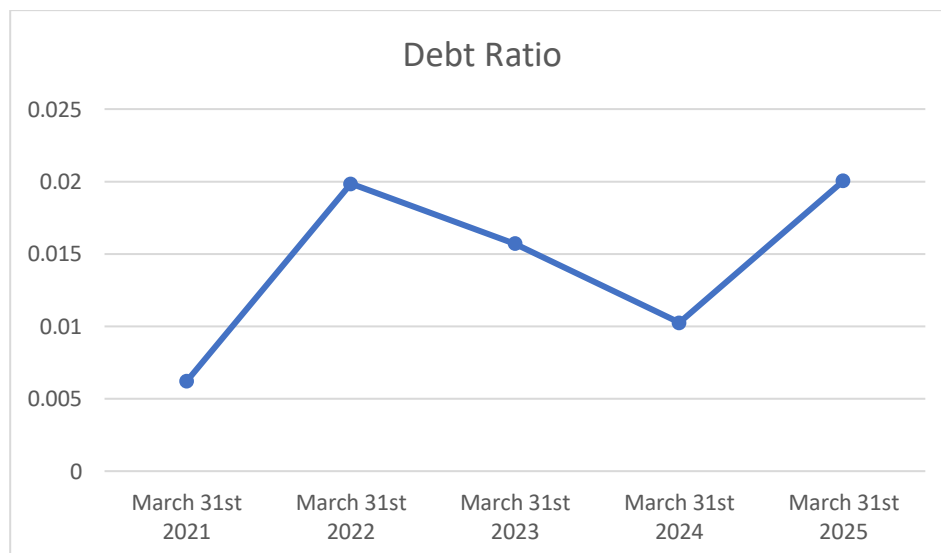
2.1.e) Conclusion

Over FY 2021 to FY 2025, the liquidity ratios show initial stability followed by a clear weakening in FY 2025. The Current and Acid Test Ratios both peak in FY 2024 but decline sharply the next year, indicating reduced short-term solvency and fewer liquid assets. The Cash Ratio also fluctuates, ending at its lowest level in FY 2025, suggesting tighter cash availability. The Operating Cash Flow Ratio is the most volatile, rising strongly until FY 2024 before dropping significantly in FY 2025, reflecting weaker cash generation. Overall, liquidity strengthens up to FY 2024 but deteriorates notably in FY 2025.

2.2) Leverage Financial Ratios

Year	Leverage Financial Ratios			
	Debt Ratio	Debt to Equity Ratio	Interest Coverage Ratio	Debt Service Coverage Ratio
31 st March 2021	0.006	0.010	64.06	52.71
31 st March 2022	0.020	0.034	72.86	32.08
31 st March 2023	0.016	0.027	45.40	16.67
31 st March 2024	0.010	0.017	49.03	15.57
31 st March 2025	0.020	0.037	42.61	14.03
Average	0.014	0.025	54.79	26.21
Minimum	0.006	0.010	42.61	14.03
Maximum	0.020	0.037	72.86	52.71

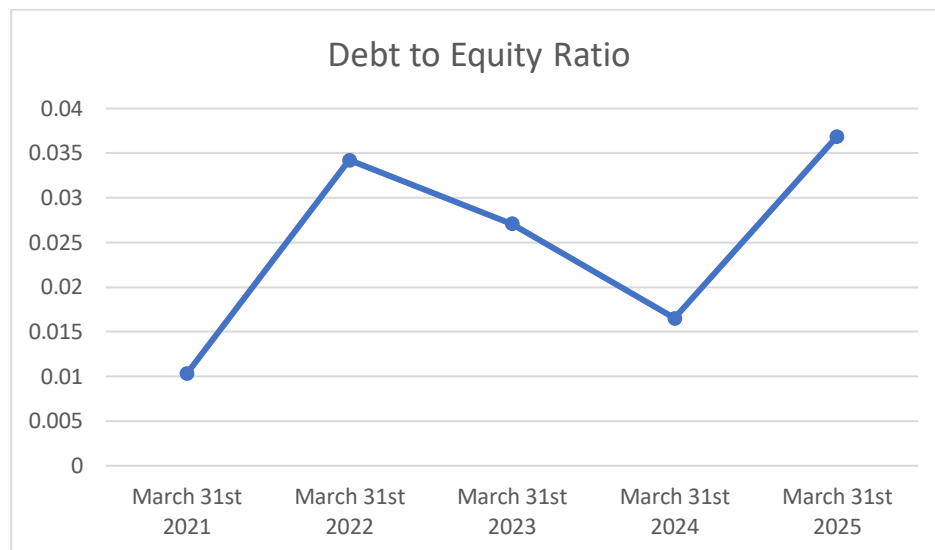
2.2.a) Debt Ratio



The Debt Ratio remains consistently low across all five years, beginning at 0.006 in FY 2021 and rising to 0.020 in FY 2022, indicating a slight increase in the use of debt. It then decreases to 0.016 in FY 2023 and 0.010 in FY 2024 before returning to 0.020 in FY 2025. These small movements show that the

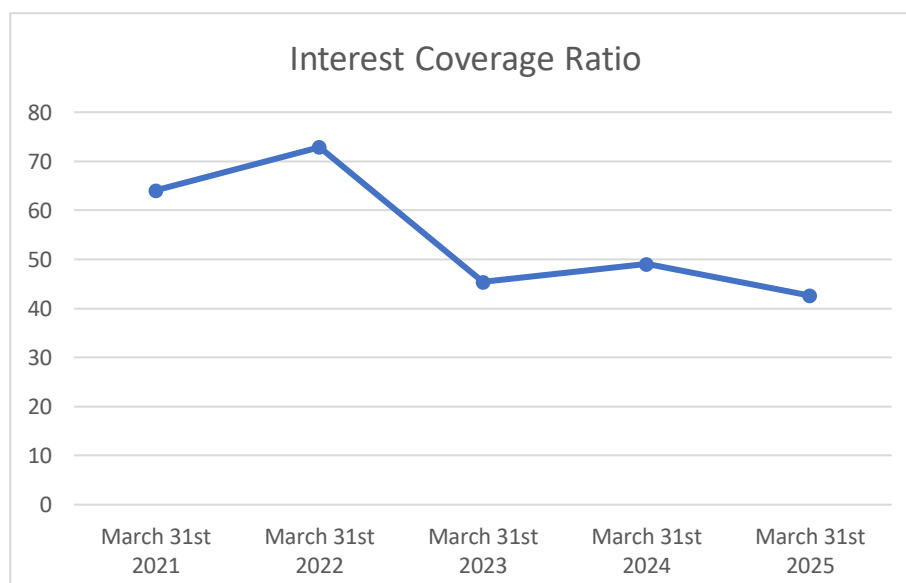
company maintains a very conservative approach to borrowing, with total liabilities forming only a tiny portion of total assets. Overall, the firm's financial risk is minimal throughout the period.

2.2.b) Debt to Equity Ratio



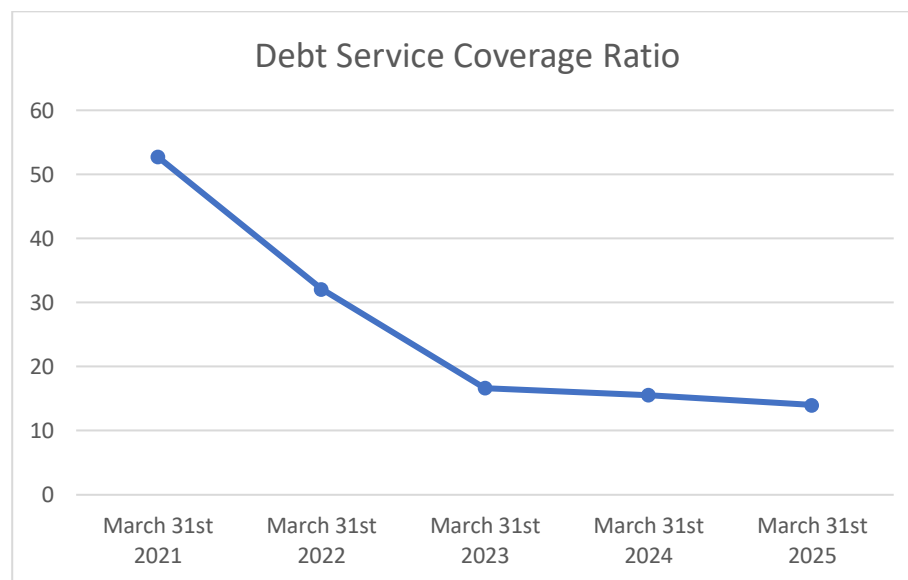
The Debt-to-Equity Ratio follows a similar pattern, starting at a very low 0.010 in FY 2021 and rising significantly in FY 2022 to 0.034, suggesting a higher dependence on debt relative to equity that year. It declines gradually to 0.027 in FY 2023 and 0.017 in FY 2024, before increasing again to 0.037 in FY 2025. Despite these changes, the ratio remains extremely low overall, reflecting strong equity funding, low gearing, and very limited financial leverage across the entire period.

2.2.c) Interest Coverage Ratio



The Interest Coverage Ratio begins at a strong 64.06 in FY 2021, improves further to its peak of 72.86 in FY 2022, and then declines sharply over the next three years, reaching 42.61 in FY 2025. Although the ratio remains high, indicating excellent capacity to pay interest expenses, the downward trend suggests that earnings before interest and taxes (EBIT) are gradually weakening or interest costs are rising. This decline, while not alarming yet, signals that the margin of safety for meeting interest obligations has been reducing.

2.2.d) Debt Service Coverage Ratio



In stark contrast to the other ratios, the DSCR demonstrates a pronounced and consistent downward trajectory, falling from 52.71 in FY2021 to 14.03 in FY2025. This ratio, which measures the sufficiency of operating cash flow to cover total debt service (principal and interest repayments), has deteriorated significantly. While the absolute value remains above 1, the steep decline suggests that the company's cash generation from operations is becoming less robust relative to its scheduled debt repayments, potentially indicating tightening cash flow conditions despite strong earnings.

2.2.e) Conclusion

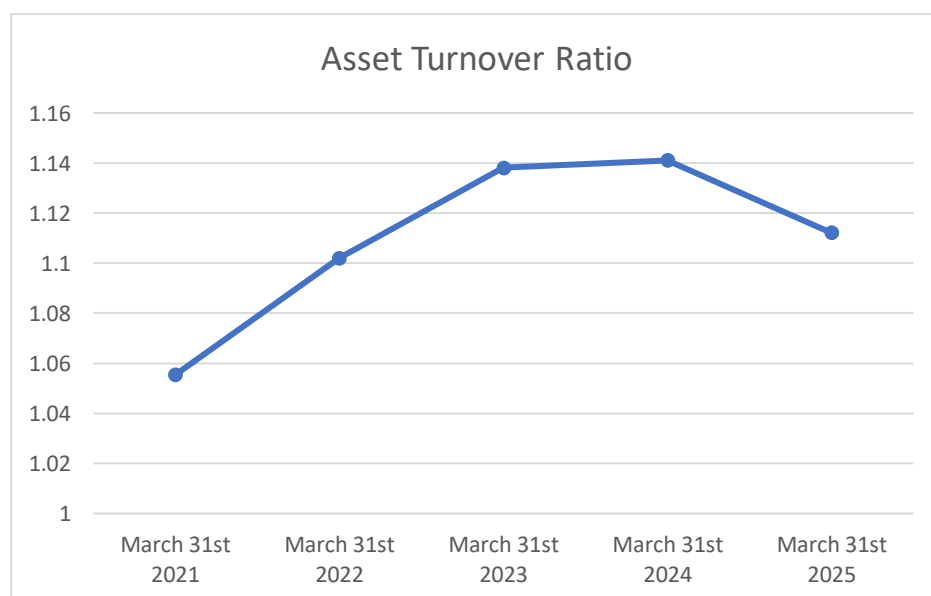
Overall, the company's leverage ratios indicate a consistently low reliance on debt, with both the Debt Ratio and Debt-to-Equity Ratio remaining very small throughout the five-year period. However, despite low leverage, both the Interest Coverage Ratio and Debt Service Coverage Ratio show a clear declining trend, suggesting that the firm's ability to cover interest and total debt obligations has gradually weakened. While financial risk from borrowing

remains low, the reduction in coverage ratios highlights growing pressure on earnings and cash flows, signalling the need for strengthened operational performance or more cautious debt management going forward.

2.3) Efficiency Ratios

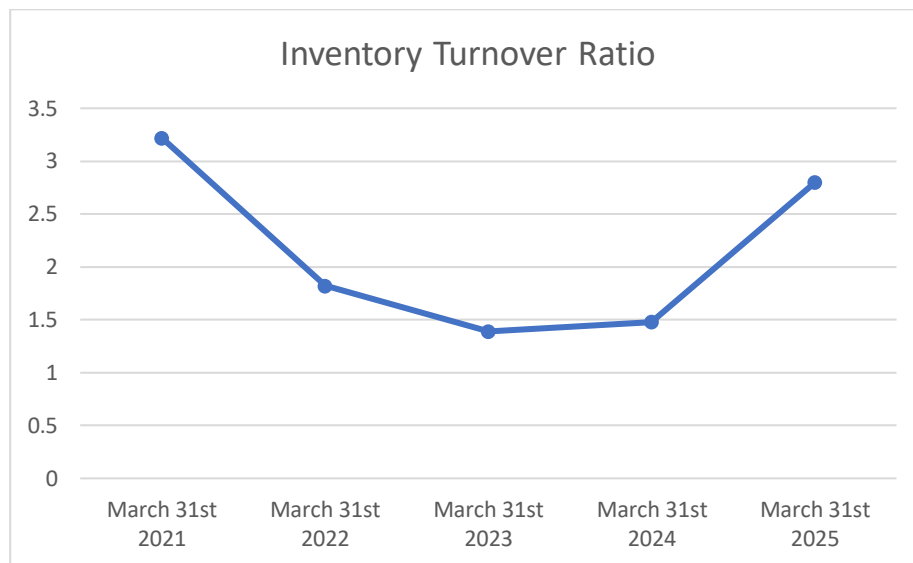
Year	Efficiency Ratios			
	Asset Turnover Ratio	Inventory Turnover Ratio	Receivable Turnover Ratio	Days Sales in Inventory
31st March 2021	1.055	3.22	5.79	149.09
31st March 2022	1.102	1.82	5.38	175.37
31st March 2023	1.138	1.39	5.19	214.64
31st March 2024	1.141	1.48	5.28	217.74
31st March 2025	1.112	2.8	5.72	174.76
Average	1.110	2.14	5.47	186.32
Minimum	1.055	1.39	5.19	149.09
Maximum	1.141	3.22	5.79	217.74

2.3.a) Asset Turnover Ratio



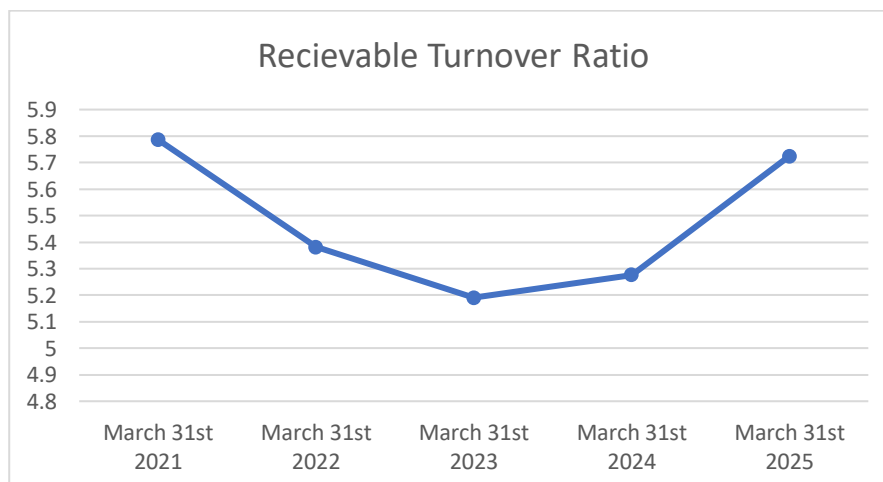
The Asset Turnover Ratio demonstrated a consistent upward trend from 1.055 to 1.141 between FY2021 and FY2024, indicating a gradual improvement in the company's ability to generate revenue from its asset base. This positive trajectory was interrupted in FY2025, with the ratio declining to 1.112. Despite this recent dip, the ratio remains close to its five-year maximum, suggesting that the company's core operational efficiency in utilizing its total assets has been generally stable and effective over the period.

2.3.b) Inventory Turnover Ratio



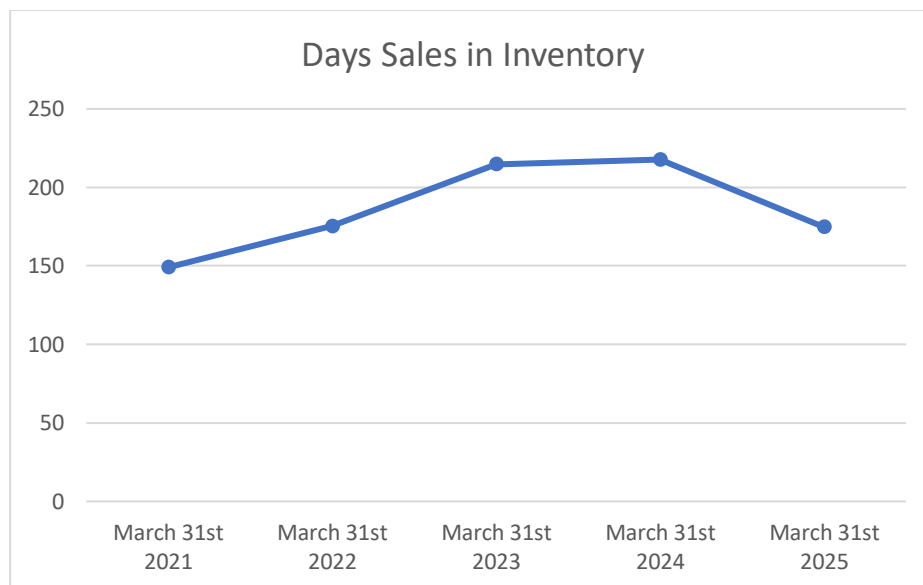
Inventory Turnover fluctuates significantly, starting high at 3.22 in FY 2021 before dropping sharply to 1.82 in FY 2022 and reaching its lowest point of 1.39 in FY 2023. Although it recovers modestly to 1.48 in FY 2024 and rises further to 2.8 in FY 2025, the volatility suggests inconsistent inventory management and variable demand or production cycles across the years.

2.3.c) Receivable Turnover Ratio



The Receivable Turnover Ratio stays relatively stable, ranging between 5.19 and 5.79 throughout the five years. It begins at 5.79 in FY 2021, dips slightly over the next three years, and then rises again to 5.72 in FY 2025. This steady pattern indicates consistent credit collection efficiency with only marginal changes in receivables management.

2.3.d) Days Sales in Inventory Ratio



The DSI trend directly mirrors the Inventory Turnover Ratio, showing a dramatic increase from 149 days in FY2021 to a peak of 218 days in FY2024. This trend signified a growing accumulation of inventory and a longer conversion cycle. The substantial improvement in FY2025, reducing to 175 days, confirms the enhanced inventory management observed in the turnover ratio. Nevertheless, the DSI remains significantly higher than the FY2021 level, highlighting that while recent progress is evident, inventory liquidity has fundamentally deteriorated over the five-year horizon.

2.3.e) Conclusion

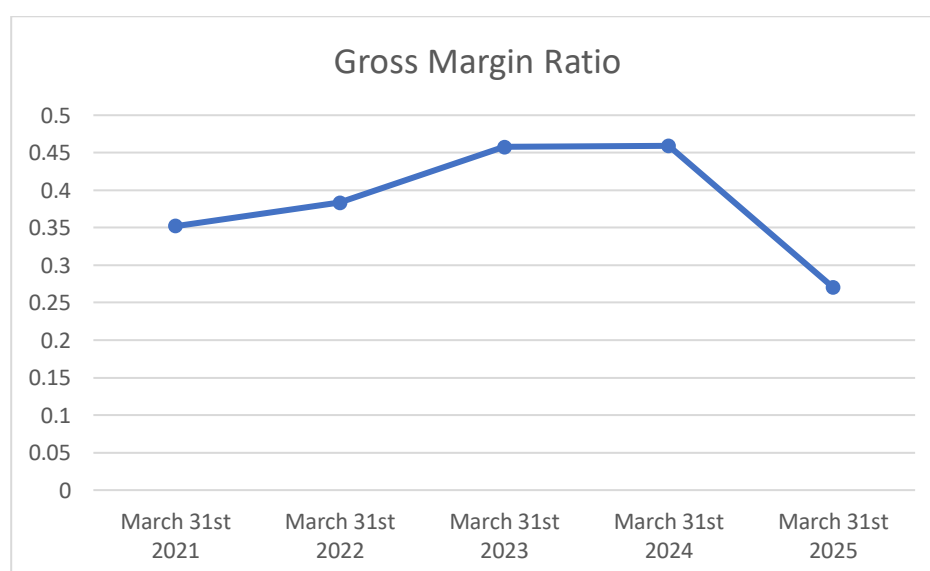
Overall, the efficiency ratios show mixed performance across the five-year period. Asset Turnover improves steadily, indicating better use of assets to generate revenue, although there is a minor dip in FY 2025. Inventory-related measures are more volatile—Inventory Turnover drops sharply in the middle years while Days Sales in Inventory rises significantly, suggesting slower movement of stock and weaker inventory efficiency. Receivable Turnover remains stable with only small fluctuations, reflecting consistent credit collection practices. In summary, asset utilization is strong, receivable

management is steady, but inventory efficiency shows instability that may require closer operational attention.

2.4) Profitability Ratios

Year	Profitability Ratios			
	Gross Margin Ratio	Operating Margin Ratio	Return on Asset	Return on Equity
31st March 2021	0.352	0.187	0.122	0.193
31st March 2022	0.384	0.180	0.150	0.254
31st March 2023	0.458	0.195	0.168	0.290
31st March 2024	0.459	0.185	0.160	0.266
31st March 2025	0.271	0.130	0.115	0.199
Average	0.385	0.175	0.143	0.240
Minimum	0.271	0.130	0.115	0.193
Maximum	0.459	0.195	0.168	0.290

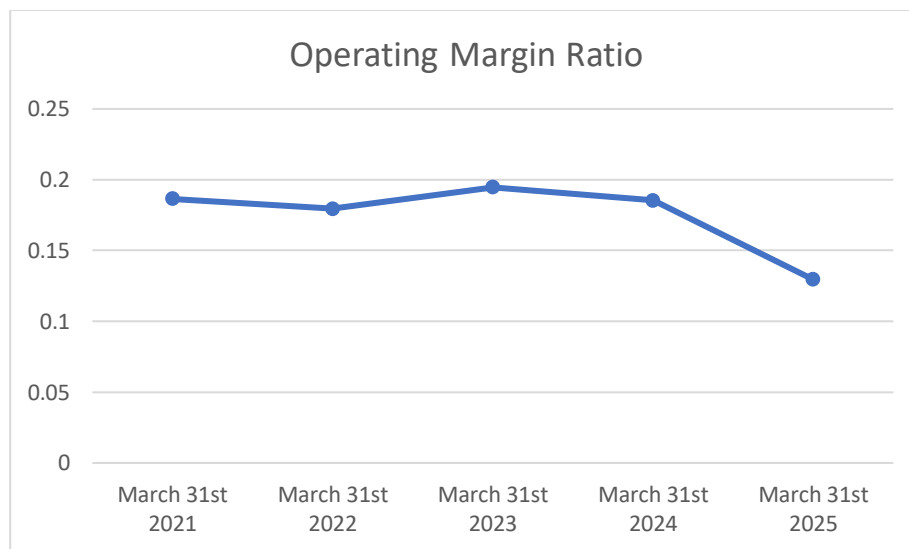
2.4.a) Gross Margin Ratio



The Gross Margin Ratio demonstrated a strong and consistent upward trend from 0.352 in FY2021 to a peak of 0.459 in FY2024, indicating improving cost control of goods sold or favourable pricing power. However, this trend reversed

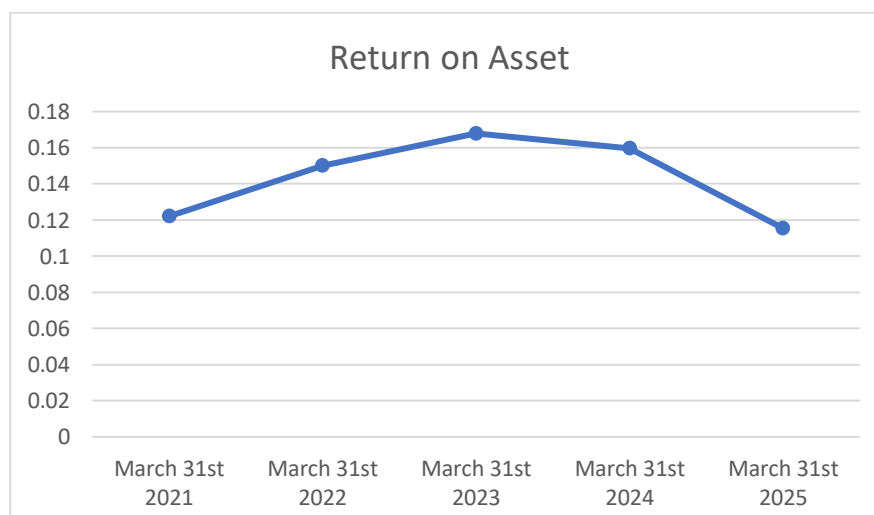
catastrophically in FY2025, with the ratio collapsing to 0.271. This value not only represents a sharp single-year decline but also falls significantly below the five-year average and is the minimum for the period. This suggests a severe compression in the fundamental profitability of sales, potentially due to rising input costs, price discounts, or a shift in product mix.

2.4.b) Operating Margin Ratio



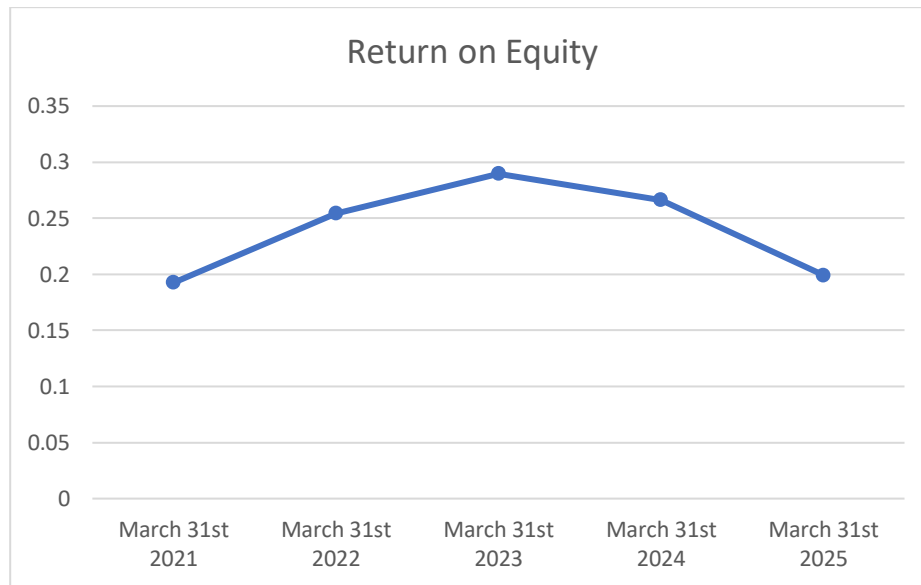
The Operating Margin Ratio remained relatively stable between 0.180 and 0.195 from FY2021 to FY2024, indicating consistent control over operating expenses relative to revenue. Similar to the gross margin, FY2025 saw a pronounced downturn to 0.130, the lowest point in the five-year period. This decline, coupled with the gross margin collapse, implies that the company was unable to offset the erosion in gross profit through reductions in operating expenses, leading to a significant drop in operating income.

2.4.c) Return on Asset Ratio



The Return on Assets ratio showed a steady improvement from 0.122 to a peak of 0.168 in FY2023, reflecting enhanced efficiency in generating profits from the company's asset base. This positive trend was broken in FY2025, with ROA falling to 0.115, marginally below the FY2021 level and the period's minimum. This indicates that the company's assets became significantly less productive in generating net income during the most recent fiscal year.

2.4.d) Return on Equity Ratio



Mirroring the ROA trend, the Return on Equity ratio increased consistently from 0.193 to a high of 0.290 in FY2023, demonstrating growing returns for shareholders' investments. The ratio then declined in FY2024 and fell sharply to 0.199 in FY2025. While this FY2025 value is close to the FY2021 baseline, the reversal from the peak is substantial, signalling a marked decrease in the profitability generated on shareholders' equity.

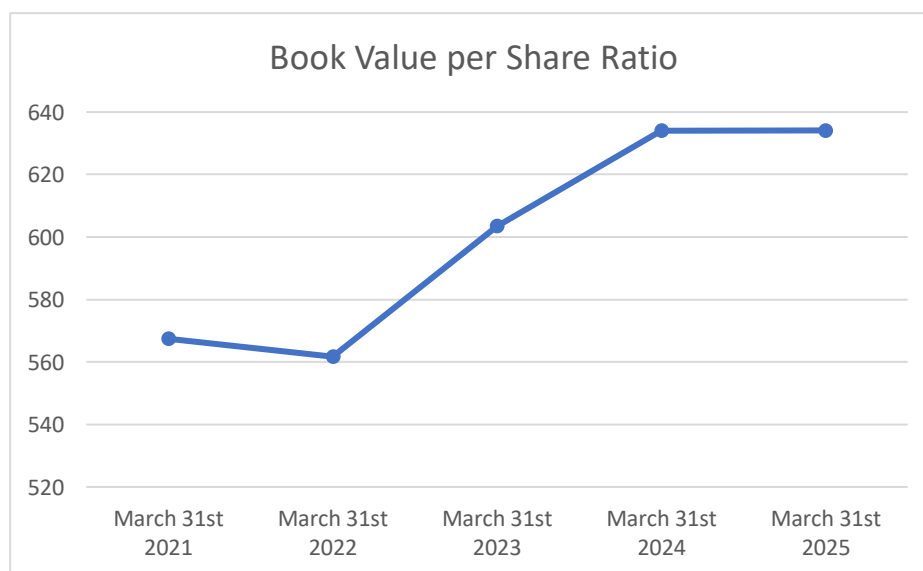
2.4.e) Conclusion

The profitability analysis paints a clear picture of a company that built a strong performance record over three years, only to experience a severe setback in FY2025. The synchronous decline across all margins—from gross to net—suggests the issues are fundamental, likely rooted in core operational inefficiencies or adverse market conditions affecting cost structures and pricing. The deterioration in ROA and ROE confirms that this profit decline has directly impacted the efficiency of both the asset base and equity investment.

2.5) Market Value Ratios

Year	Market Value Ratios			
	Book Value per Share Ratio	Dividend Yield Ratio	Earnings per Share Ratio	Price Earning Ratio
31st March 2021	567.49	0.0217	109.72	48.21
31st March 2022	561.70	0.0303	143.59	34.49
31st March 2023	603.49	0.0304	168.71	24.36
31st March 2024	634.05	0.0257	164.78	31.93
31st March 2025	634.13	0.0295	126.36	33.50
Average	600.17	0.0275	142.63	34.50
Minimum	561.70	0.0217	109.72	24.36
Maximum	634.13	0.0303	168.71	48.21

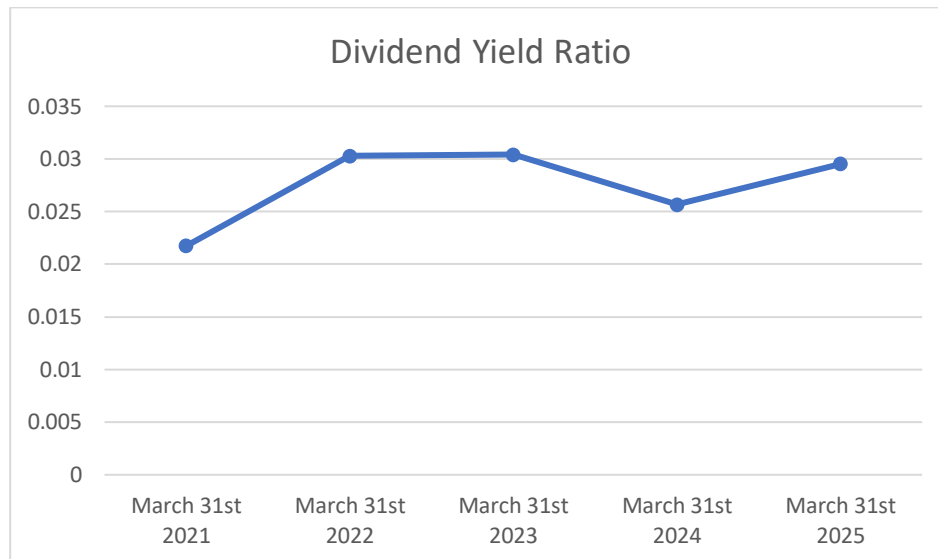
2.5.a) Book Value per Share Ratio



The Book Value per Share demonstrated a consistent and positive upward trajectory, rising from 567.49 in FY2021 to 634.13 in FY2025. This indicates sustained growth in the company's net asset value on a per-share basis, signalling fundamental wealth creation for shareholders and a strengthening

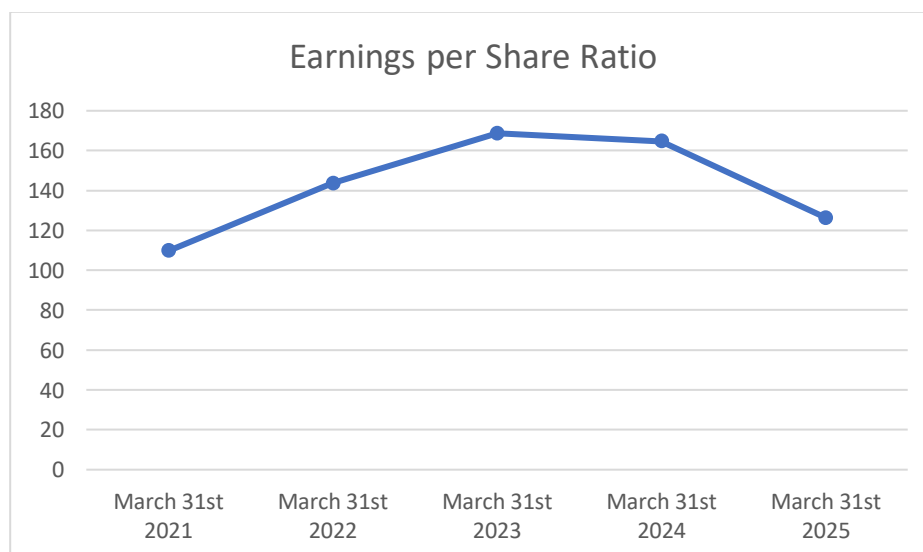
equity base. The stability in FY2025 suggests a pause in retained earnings accumulation or potential shareholder distributions.

2.5.b) Dividend Yield Ratio



The Dividend Yield was relatively stable, fluctuating within a narrow band between 2.17% and 3.04% after an initial increase from FY2021. The yield peaked in FY2023 and settled at 2.95% in FY2025, near the period's average. This indicates a consistent dividend distribution policy in line with the company's performance, providing a stable, moderate income return to investors throughout the period.

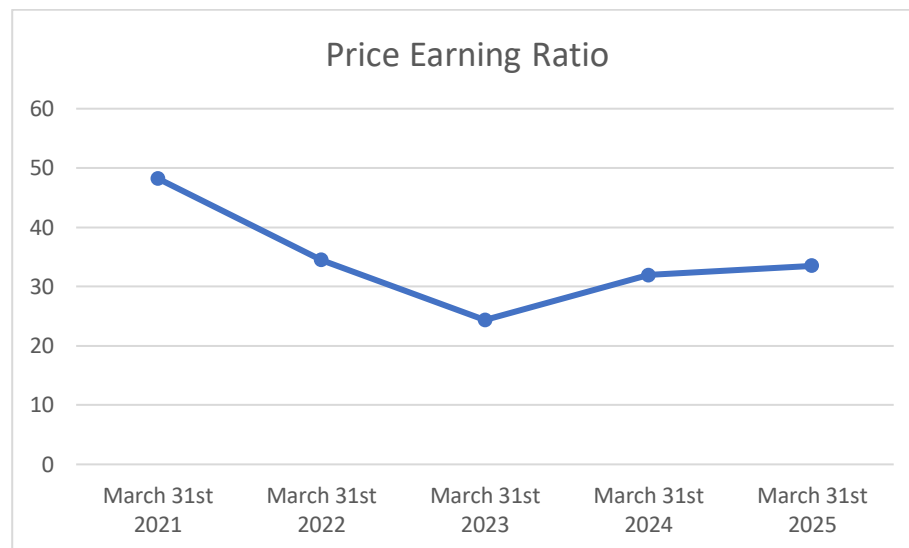
2.5.c) Earnings per Share Ratio



The EPS ratio showed strong growth from FY2021 to FY2023, peaking at 169, which reflects robust and improving corporate profitability on a per-share

basis. However, this positive trend reversed in the latter part of the period, with EPS declining significantly to 126 in FY2025. This 25% drop from the peak represents a material deterioration in bottom-line performance, aligning with the severe profitability issues identified in the previous analysis.

2.5.d) Price Earning Ratio



The P/E Ratio exhibited a pronounced downward trend from an elevated 48.21 in FY2021 to 33.50 in FY2025. This significant compression suggests a substantial derating of the company's valuation multiple in the market. While the initial high P/E might have reflected high growth expectations, the subsequent decline indicates a market reassessment, potentially due to the maturation of the business, increased risk perception, or in response to the recent earnings volatility and decline observed in FY2025.

2.5.e) Conclusion

Overall, the market value ratios show a generally positive long-term trend with some fluctuations. Book Value per Share steadily increases after FY 2022, indicating growing shareholder equity. Dividend Yield remains relatively stable, suggesting a consistent dividend policy. Earnings per Share rise strongly up to FY 2023 before declining in FY 2025, signalling a period of strong profitability followed by a slowdown. The Price–Earnings Ratio decreases significantly in the early years and later stabilizes, reflecting shifts in market confidence and valuation. Together, these trends indicate strengthening intrinsic value and stable dividend practices, though recent years show signs of moderating earnings growth.

3. Overall Conclusion

The five-year financial analysis of Bayer CropScience India shows that the company has generally maintained strong fundamentals, with healthy liquidity, minimal reliance on debt, solid asset utilization, and robust profitability in most years. However, a noticeable decline across several ratios in FY 2025—especially in profitability, cash-flow strength, and inventory efficiency—suggests emerging operational pressures, possibly due to higher input costs, fluctuating demand in the agriculture sector, or volatility in crop cycles.

For a company operating in the agrochemical and crop-science industry, industry context is crucial. This sector is highly sensitive to monsoon patterns, commodity price cycles, regulatory changes, and seasonal demand, all of which influence inventory levels, receivables, margins, and market valuations. For example, slower inventory turnover or fluctuating margins may not always indicate inefficiency but can reflect seasonal stocking, farmer purchasing cycles, or shifts in the product mix between seeds, crop protection chemicals, and biological solutions. Similarly, low leverage is typical for established chemical and biotech firms that prioritize financial stability and compliance.

Financial ratios help us understand Bayer CropScience India's performance by breaking down its strengths and weaknesses from multiple angles. Liquidity and leverage ratios demonstrate the company's strong financial stability; efficiency ratios reveal how well it manages working capital in a seasonally-driven industry; profitability ratios show how effectively it converts operations into earnings; and market value ratios reflect investor confidence in its long-term innovation-led growth model. Taken together, these ratios indicate that Bayer CropScience India has historically operated from a position of strength, but the recent dip in FY 2025 highlights the need for close monitoring of margins, operational efficiency, and demand fluctuations within a highly seasonal and competitive agricultural landscape.